

6-2 Why Do Firms Become MNEs by Engaging in FDI?

Having set the terms straight, we need to address a fundamental question:

Why do so many firms—ranging from those in the ancient world to today's GE and Tata—become MNEs by engaging in FDI? Without getting into details, we can safely say that there must be

economic gains from FDI. More importantly, given the tremendous complexities, such gains must significantly outweigh the costs. What are the sources of such gains? The answer, as suggested by British scholar John Dunning and illustrated in [Figure 6.5](#), boils down to firms' quest for ownership (O) advantages, location (L) advantages, and internalization (I) advantages—collectively known as the

OLI advantages (A firm's quest for ownership (O) advantages, location (L) advantages, and internalization (I) advantages via FDI.)

. The two core perspectives introduced earlier, resource-based and institution-based views, enable us to probe into the heart of this question.

Learning Objective 6-2

Understand how FDI results in OLI advantages.

Figure 6.5

Why Do Firms Become MNEs by Engaging in FDI? An OLI Framework

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In the context of FDI,

ownership (An MNE's possession and leveraging of certain valuable, rare, hard-to-imitate, and organizationally embedded (VRIO) assets overseas in the context of FDI.)

refers to MNEs' possession and leveraging of certain valuable, rare, hard-to-imitate, and organizationally embedded (VRIO) assets overseas. Owning proprietary technology and management know-how that goes into making a BMW helps ensure that the MNE can beat rivals abroad.

Location (Advantages enjoyed by firms operating in a certain location.) advantages are those enjoyed by firms because they do business in a certain place. Features unique to a

place, such as its natural or labor resources or its location near particular markets, provide certain advantages to firms doing business there. For example, Vietnam has emerged as a convenient location for MNEs that want to diversify away from coastal China due to rising labor costs. From a resource-based view, an MNE's pursuit of ownership and location advantages can be regarded as flexing its muscles—its resources and capabilities—in global competition.

Internalization (The replacement of cross-border markets (such as exporting and importing) with one firm (the MNE) locating and operating in two or more countries.)

refers to the replacement of cross-border markets (such as exporting and importing) with one firm (the MNE) locating in two or more countries. For example, instead of selling its technology to a Indonesian firm for a fee (which is a non-FDI-based market entry mode technically called

licensing (Firm A's agreement to give Firm B the rights to use A's proprietary technology (such as a patent) or trademark (such as a corporate logo) for a royalty fee paid to A by B. This is typically done in manufacturing industries.)

), BMW assembles cars in Indonesia via FDI. In other words, external market transactions (in this case, buying and selling of technology through licensing) are replaced by internalization. From an institution-based view, internalization is a response to the imperfect rules governing international transactions—known as

market imperfections (The imperfect rules governing international transactions.) (or **market imperfections** (The imperfect rules governing international transactions.)).

Evidently, Indonesian regulations governing the protection of intellectual property such as BMW's proprietary technology do not give BMW sufficient confidence that its rights will be protected. Therefore, internalization is a must.

Overall, firms become MNEs because FDI provides the three-pronged OLI advantages that they otherwise would not obtain. The next three sections outline why this is the case. In addition, MNEs also enjoy some other advantages, such as being able to reduce tax payments by tapping into favorable rules of the game around the world (In Focus 6.1).

In Focus 6.1

One Multinational versus Many National Companies

We often treat each multinational enterprise (MNE) as one firm, regardless of how many countries it operates in. However, from an institution-based standpoint, one can argue that a “multinational” enterprise may be a total fiction that does not exist. This is because, legally, incorporation is only possible under national law, every so-called MNE is essentially a bunch of national companies (subsidiaries) registered in various countries. A generation ago, such firms were often labeled “multi-national companies” with a hyphen. Although some pundits argue that globalization is undermining the power of national governments, there is little evidence that the modern nation-state system, in existence since the 1648 Treaty of Westphalia, is retreating.

This debate is not just academic hair-splitting fighting over a hyphen. It is very relevant and stakes are high. In 2010, Zhejiang Geely Holding Group (in short, “Geely”) of China acquired Volvo Car Corporation (Volvo Personvagnar AB in Swedish—in short, “Volvo Cars” in English) from Ford Motor Company of the United States for US\$1.8 billion. Volvo Cars thus became a wholly owned subsidiary of Geely. Everybody in the world, including Geely’s owner Li Shufu, thought Volvo Cars was “Chinese”—except the Chinese government. Refusing to acknowledge the existence of any “multinational,” the Chinese government maintained that Volvo Cars, registered in Sweden and headquartered in Gothenburg, Sweden, was Swedish. When Li sought to produce Volvo vehicles in Chengdu, Daqing, and Zhangjiakou in China, the government advised that he set up a new joint venture (JV) between Volvo Cars (a Swedish firm) and Geely (a Chinese firm). Since Li was chairman of the board for Volvo Cars and chairman of the board for Geely, he ended up signing *both* sides of the JV contract. In other words, one individual represented both the Swedish firm and the Chinese firm (!). In 2013, the Chinese government approved this new international JV, in which the Swedish side (Volvo Cars) owned 30% equity.

If Li signing his name twice on a JV contract is funny, a more serious case in point concerns tax avoidance. Legally, Google Ireland is not a branch of the US-based Google Corporation. Although 100% owned by Google Corporation, Google Ireland is a separate, legally independent corporation registered in Ireland. While Google Corporation intentionally lets Google Ireland earn a lot of profits, the US Internal Revenue Service (IRS) cannot tax a dime Google Ireland makes, unless it sends back (repatriates) the profits to Google Corporation. Google Corporation does not have just one subsidiary. It has many around the world. Overall, 54% of Google’s profits are parked overseas and are not taxable by the IRS. Google is not alone. The list of leading US firms that have left a majority of their profits overseas includes Chevron, Cisco, Citigroup, ExxonMobil, GE, HP, IBM, Johnson & Johnson, Microsoft, P&G, PepsiCo, and Pfizer. Running huge budget deficits, Congress is understandably furious.

Sources: Based on (1) *21st Century Business Insights*, 2012, *Geely-Volvo JV to push Volvo brand and new energy cars*, April 1: 27; (2) S. Kobrin, 2009, *Sovereignty@bay*, in A. Rugman (ed.), *The Oxford Handbook of International Business* (pp. 183–204), New York: Oxford University Press; (3) C. Needham, 2013, *Corporate tax avoidance by multinational firms*, *Library of the European Parliament*; (4) www.volvocars.com.